DSCR QUALIFICATION FOLLOW-UP

Your Rate & Cash Flow Guide

Prepared for an investor who already ran the numbers

Hi there,

Attached is your DSCR Rate & Cash Flow Guide, personalized to the numbers you just ran.

YOUR SCENARIO

DSCR ratio	—
Down payment	—
Est. rate	—
Est. loan amount	—

INSIDE THE GUIDE

01 The 6 levers that actually move your rate

02 5 ways to raise cash flow on the same property

03 Where your down-payment bracket comes from

Book your free 15-min strategy call

https://realdarrentsai.com/book/

A loan officer will also reach out shortly to walk through your actual rate and terms.

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DSCR QUALIFICATION FOLLOW-UP

Your Rate Isn't Fixed. Here's What Actually Moves It.

A quick-reference guide for investors who ran the DSCR qualification calculator and want to know what happens next.

PREPARED FOR AN INVESTOR WHO ALREADY RAN THE NUMBERS

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SECTION 01

Where Your Number Actually Comes From

Your DSCR calculator result compares your property's monthly rent to its estimated monthly mortgage payment (principal, interest, taxes, insurance, and HOA, often shortened to PITIA). Most DSCR lenders set their minimum qualifying line at a ratio of 1.00, meaning the rent covers the payment dollar for dollar. Above that line, you generally qualify. Below it, you're in territory where the loan needs to be structured differently, or you need a lender willing to work outside the standard line.

The rate used in your estimate was based on which down payment bracket you landed in:

Down Payment	Estimated Rate Range
20%	7.50%
25% – 30%	7.00%
30% – 50%	6.75%

This is a market-range estimate, not a locked quote, your actual rate still moves based on the factors below, sometimes by more than the bracket itself does.

The part most calculators leave out: your down payment isn't the only lever connected to your rate, and your rate isn't the only lever connected to your cash flow. The next two sections name the other levers: how they apply to your specific deal is the conversation that happens on a call, not on a page.

SECTION 02

6 Levers That Move Your Rate

Beyond the down payment bracket, these are the factors that shift where an investor actually lands within, or below, their estimated range.

01 Discount points / rate buydown
Paying a fee at closing to reduce your rate is common on DSCR loans. Whether it's worth it depends on how long you plan to hold the property and how the math breaks even, a calculation that changes deal to deal.

02 Interest-only structuring
An interest-only period lowers the monthly payment used in your DSCR math, which can be the difference between qualifying and not on a tight deal. It also changes how your equity builds over time, so it's a trade-off worth walking through, not a default choice.

03 Prepayment penalty structure
DSCR loans price differently depending on the prepayment penalty term you choose. Investors planning to refinance or sell within a few years often trade a slightly different rate for a shorter penalty window. Buy-and-hold investors usually go the other direction.

04 Entity and experience credit
Some lenders price more aggressively for borrowers with a landlord track record or a specific entity/LLC structure already in place. This isn't universal: it depends on which lender is looking at the file.

05 Portfolio / multi-property pricing
Bundling more than one property, or being a repeat investor with a lender, can unlock pricing that a single, first-time DSCR loan won't see.

06 Credit profile positioning
Two investors at the same down payment bracket can still land in different places within that range depending on credit profile. Small, fixable things sometimes move this more than people expect.

SECTION 03

5 Ways to Increase Cash Flow on the Same Property

Your DSCR ratio isn't fixed the moment you run the numbers once. These are the most common places investors find room: some on the loan side, some on the property side.

01 Rent positioning vs. appraised rent
Lenders use a market rent figure that doesn't always match what a property can actually lease for. Where the gap exists, and whether it can be documented, directly affects your ratio.

02 Insurance shopping
Insurance is one of the few PITIA components that can often be reduced without changing anything about the loan itself. It's frequently the most overlooked line item.

03 Property tax reassessment or appeal
Depending on the county and recent purchase price, a tax appeal can lower the monthly escrow figure baked into your PITIA, worth checking before you assume the number is fixed.

04 Loan structure choice
As covered in Section 02, the same loan amount can carry a different monthly payment depending on structure (interest-only vs. amortizing, rate vs. points). That payment is the denominator in your DSCR ratio.

05 Reserve strategy
How much you hold in reserves can affect both what you qualify for and what terms are available to you, sometimes reserves do more work than an extra few points of down payment.

What this guide can't tell you: which of these levers apply to your deal, how much they'd move your specific number, or which ones stack well together. That depends on your property, your lender options, and your goals, which is exactly what a strategy call is for.

SECTION 04

The Investors Who Get the Best Terms Aren't the Ones With the Most Cash Down.

They're the ones who know which levers apply to their deal before they apply for the loan, not after they've already been quoted a rate.

Bring your calculator result to a free 15-minute DSCR strategy call. We'll go through which of the levers in this guide actually apply to your property, what your real rate range looks like once they're factored in, and whether restructuring the loan gets you to a stronger number.

Book your free strategy call
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